CONTROLLING

Fourth Management Function

CONTROL

- CONTROL means knowing what is actually happening in comparison to or objectives and making any necessary .

Why control?

- to alert the manager to a problem or potential problem before it becomes critical.

WHY PRACTICE MANAGEMENT CONTROLS?

- All forms of management controls give the manager ***information*** to:

1. Prevent crisis
2. Standardize output
3. Appraise employee performance
4. Update plans
5. Protect an organization’s assets

CONTROL FUNCTION

Includes all activities the manager undertakes in attempting to ensure that actual results conform to planned results

- Managerial control is effective :

1. when ***standards*** can be established for the variables that are to be controlled,
2. when ***information is available*** to measure the established standards, and
3. when managers can take ***corrective action*** whenever the variable deviates from its desired state, or standard.

CONTROL FUNCTION

The methods of control provide answers to ***three*** basic questions:

- What are the planned and expected results?
- By what means can the actual results be compared to planned results?
- What corrective action is appropriate from which authorized person?

PLANNING AND CONTROL

- All of the **planning** in the world will be of little value if management fails to establish some type of control system.
- Planning and controlling are closely related management functions.

CONTROL PROCESS

- There are 4 steps in the control process:

1. Establishing standards or targets
2. Measuring actual performance
3. Comparing performance against standards
4. Taking corrective action, if necessary

Standards

- *Standards* are *derived from*, and h*ave many characteristics* of*, objectives.*
- Standards are targets, exact quantities, agreed on to be used for comparison.
- To be effective, they must be *stated clearly* and *relate* logically to *objectives* of the unit.

Measurement of Standards

- Attainable minimum levels of acceptable performance.
- Standards are measured in a variety of ways, including :
  - ✓Physical – Units of acceptable quality
  - ✓Monetary - sales person's quota
  - ✓Quantitative - CWA of 45 required for graduation
  - ✓Qualitative – Employee performance appraisal

METHODS FOR SETTING STANDARDS

Three different methods:

1. ***Judgmental***: personal knowledge, experience, intuition (using no rational process);
2. ***Statistical or historical data***: past performance is used as a benchmark for future performance.
3. ***Engineering techniques*****:** Work sampling and time studies

Types of Standards

There are three types of standards:

1. **Performance standards** – deal with quantity, quality, cost and time
2. **Corollary standards** – support a given level of performance e.g. min. personnel requirement & adequate physical resources
3. **Standards of conduct** – moral and ethical criteria that shape the behavioral climate of the workplace

Types of Control

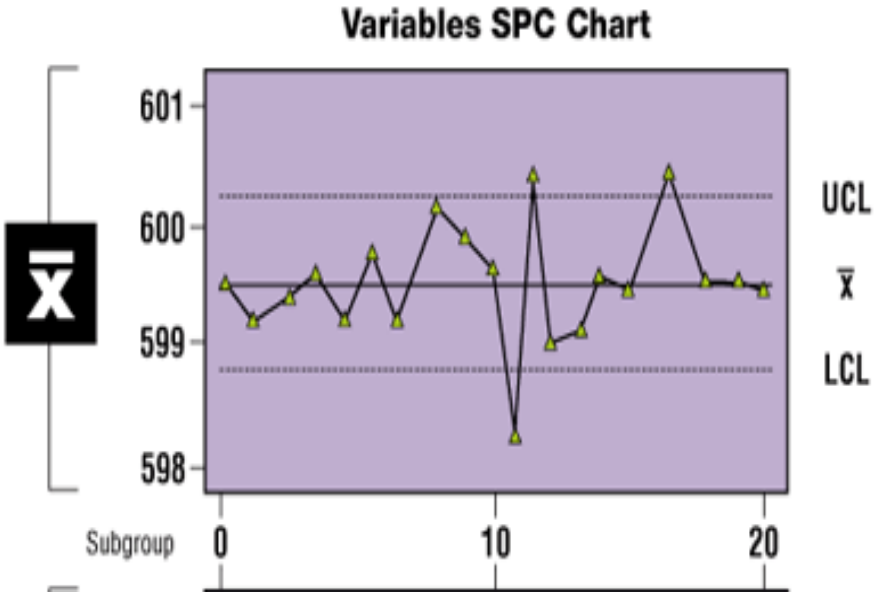
- Preliminary control also called steering control
- Concurrent control also called screening control
- Feedback control or post action control

Preliminary Control

- Focuses on ***preventing deviations*** in the quality and quantity of resources used in the organization.
  - Requiring *prior approval* of all items over a certain value.
  - Human resources *must meet the job requirements* as defined by the organization:
    - *Employees must have the physical and intellectual capabilities to perform assigned tasks.*
  - Raw materials must meet acceptable levels of quality and must be available at the proper time and place.
  - Financial resources must *be available* in the *right amounts* and at the *right times*.

Concurrent Control

- Focuses on things that happen *as inputs are being transformed into outputs*
- Monitors ongoing operations to ensure that objectives are pursued.
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Concurrent Control

- It is implemented primarily by the supervisory activities of managers.
- Through:
  - *Personal*, on-the-spot observation, (supervision) they determine whether the work of others is proceeding in the manner defined by policies and procedures.
  - *Delegated authority* (provides managers with the power to use financial and nonfinancial incentives to effect concurrent control).

Feedback Control

- Feedback control methods focus on *end results*.
- Corrective action is directed *at improving either the resource acquisition process or the actual operations*.
- Type of control derives its name from the fact that ***historical* results** guide *future* actions.
- The feedback methods employed in business include:
  - budgets,
  - standard costs analysis,
  - financial statements analysis,
  - quality control, and
  - performance evaluation.

Preliminary Control

- **Human Resources: Selection and Staffing**
- **Materials**
- **Capital**
- **Financial Resources**

Human Resources: Selection and Staffing

- Preliminary control - include of managerial and non-managerial personnel.
- Candidates for positions must be recruited from inside or outside the firm
- Applicants must be selected from the list of contenders, *by matching an applicant's skills and personal characteristics to the job requirements*.

Materials

- The raw material that is converted into a finished product
- to ensure a continuous flow to meet customer demands.

Capital

- Capital here is not money invested by owners of a business
  - the need to replace existing equipment or
  - to expand the firm's productive capacity.
- Capital acquisitions are controlled by

- Such acquisitions ordinarily are included in the *capital budget*,

- Managerial decisions that involve the commitment of present funds in exchange for future funds are termed . The methods that serve to screen investment proposals are based on economic analysis.

Capital

- *The Payback Method* (simplest method)
  - This method calculates the number of years needed for the proposed capital acquisition to repay its original cost out of future cash earnings.
- *Rate of return on investments (ROR)*
- *Discounted rate of return*
- *Profitability index*

Financial Resources

- to ensure payment of obligations arising from current operations.
  - Materials must be purchased,
  - Wages paid, and
  - Interest charges and due dates met.

- The principal means of controlling the availability and cost of financial resources is budgeting - particularly the ***budgeting of cash and working capital.***

Financial Resources

- To aid in the process of determining short-term financing and short run investments opportunities, managers use certain ***financial ratios.***
- For example, the control standard may be stated in the (the ratio of current assets to current liabilities), and a minimum and a maximum are set. The minimum ratio could be set at 2:1 and the maximum at 3:1, which would recognize the cost of both too little and too much investment in liquid assets. The control would be in terms of corrective action taken when the actual current ratio deviates from the standard.

Concurrent Control

- ***Concurrent control*** consists primarily of actions of supervisors who direct the work of their subordinates.
- ***Direction*** refers to the acts of managers instructing subordinates in

.

  - In-process controls of processes is part of concurrent control

Feedback Control

- The distinguishing feature of feedback control methods is a focus on ***historic*** outcomes as the bases of correcting ***future*** actions.
  - For example, the financial statements of a firm are used to evaluate the acceptability of historical results and determine the desirability of making changes in future resource acquisitions and operational activities.

Feedback Control

- Feedback control can also

  :

  - including those related to prices charged for products or services,
  - the dropping of programs or products,
  - reductions or additions to employment,
  - and other means of improving operating results.

Feedback Control

- **Financial Statement Analysis**
- **Standard Cost Analysis**
- **Quality Control Analysis**
- **Employee Performance Evaluation**

Financial Statement Analysis

- A firm's accounting system is a principal source of information from which managers can evaluate historical results
- Financial statements usually

- These statements and the effects of , equity, revenues, and expenses- the principal components of the firm's financial structure.

Standard Cost Analysis

- Cost reduction is a ***key goal*** for all commercial enterprises
- Cost reduction is one of the few ***options available to improve performance.***
- Standard cost systems, a major contribution of the scientific management era, *provide a means for managers to monitor costs* with an aim toward ultimate reduction.

Standard Cost Analysis

- A standard cost system

- Management can then take appropriate corrective action or assign to others the authority to take action.
- The first use of standard costing was ***to control manufacturing costs***. In recent years, standard costing has also been applied

Standard Cost Analysis

- The three elements of manufacturing costs are
  - direct labor,
  - direct materials,
  - and overhead.
- For each of these, an ***estimate*** must be made ***of cost per unit of output***.
- For example, ***the direct labor cost per unit of output*** consists of the standard
  - fix the expected output per labor hour;
  - The standard price of labor is fixed by the salary schedule appropriate for the kind of work necessary to produce the output.
- The same is done for materials

Employee Performance Evaluation

- A basic goal of any performance appraisal system is to

.

- Most important and difficult feedback control technique is performance evaluation.
- It is so important because people are the most crucial resources in any organization.

Employee Performance Evaluation

- Evaluating people is difficult for several reasons.
  - First, the standards for performance are
    ; many managerial and non-managerial jobs do not
    in objective
    terms.
  - Second, because incentives are usually based on attainment of standards, managers face discontentment when they assign mediocre or low evaluations to employees.
  - Third, the same performance or evaluation system is unlikely to be effective across the spectrum of nations in which a company operates.